

Federal Income Taxes—the Basics

By having income taxes withheld from your paycheck each pay period, you're really prepaying an estimate of the taxes you'll owe for the year. You settle up your bill with Uncle Sam when you prepare your tax return after the end of the year.

The W-4 Form

The amount you have withheld is calculated based on your filing status (married or single) and the number of withholding allowances you claim on the W-4 form you file with your employer. You should file a new W-4 with your employer if you:

- Got a big refund last year
- Owed over \$100 last year when you filed your tax return
- Got married or divorced
- Had a child
- Can no longer claim a dependent that you claimed last year

Most people have too much tax withheld and let the IRS borrow their money interest-free all year. You could be earning interest on that money or saving between 12 and 20 percent in interest charges by using the extra money to pay down credit card debt.



The only time it makes sense to have more withheld than you're going to owe is if you find it impossible to save money on a regular basis. You could accomplish the same thing by having a fixed amount automatically deducted from your check each month and deposited in a savings account.
